

higher unit costs and a lower average output, selling prices on the whole having been well maintained.¹)

Current Earnings Should Not Be the Primary Basis of Appraisal. The *market level* of common stocks is governed more by their current earnings than by their long-term average. This fact accounts in good part for the wide fluctuations in common-stock prices, which largely (though by no means invariably) parallel the changes in their earnings between good years and bad. Obviously the stock market is quite irrational in thus varying its valuation of a company proportionately with the temporary changes in its reported profits.² A private business might easily earn twice as much in a boom year as in poor times, but its owner would never think of correspondingly marking up or down the value of his capital investment.

This is one of the most important lines of cleavage between Wall Street practice and the canons of ordinary business. Because the speculative public is clearly wrong in its attitude on this point, it would seem that its errors should afford profitable opportunities to the more logically minded to buy common stocks at the low prices occasioned by temporarily reduced earnings and to sell them at inflated levels created by abnormal prosperity.

The Classical Formula for "Beating the Stock Market." We have here the long-accepted and classical formula for "beating the stock market." Obviously it requires strength of character in order to think and to act in opposite fashion from the crowd and also patience to wait for opportunities that may be spaced years apart. But there are still other considerations that greatly complicate this apparently simple rule for successful

¹ It may be interesting to note that our 1933 conclusions as to the earning power of United States Steel are quite similar to those reached by J. B. Williams in his elaborate study of this company contained in his book *The Theory of Investment Value*, pp. 409–462. But note also, as against the foregoing indication of normal earning power, the rather pessimistic implications of the longer range study of United States Steel's position on pp. 607–611 below. The company's failure to reestablish this earning power in 1934–1939 might suggest that the latter analysis deserved the greater weight.

² The rise of United States Steel to 126 in March 1937, already mentioned, is a striking example of this folly of the stock market. It was based on a single good year, following six bad or mediocre ones. Within twelve months the price had declined to 42—a loss of two-thirds of its quotation, and over \$730,000,000 in aggregate market value for this single issue. The range of Youngstown Sheet and Tube and Jones and Laughlin Steel in that period was even wider.